

Granite Heron Logistics, Inc.'s Answer Response to the December 2, 2024 complaint

United States District Court for the Western District of North Carolina

Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc.

Civil Action No. SYN-WDNC-24-CV-0520

Filed December 30, 2024

Granite Heron Logistics, Inc., through Eli Mercer and Tara Webb of Mercer Webb PLLC, answers the complaint. Granite Heron admits that it transported lot BE214-VL-2409A on September 12, 2024 under shipment number GHL-ASH-091224-087. It admits that the shipment documents identified a frozen range and that the accompanying CryoTrace CTX-9 data show a temporary out-of-range interval while the load was in its custody.

Granite Heron denies that the recorded interval rendered every vial unusable as a scientific matter, compelled each business decision Blue Ember later made, or caused 4.2 million dollars in recoverable loss. It further denies that Blue Ember acted reasonably when it declined available replacement capacity at Cobalt Finch Bioprocessing.

Except for statements expressly admitted below, Granite Heron denies the allegations. Any admission concerns the pleaded proposition only and does not concede a legal conclusion, an unstated characterization, or the admissibility of a particular exhibit.

This answer distinguishes the undisputed device chronology from contested scientific and economic consequences. That distinction permits the parties to narrow transport facts without treating a preserved defense as an admission about recoverable loss.

Parties, jurisdiction, and governing writings

Granite Heron admits that Blue Ember is a Delaware limited-liability company whose sole member is described in the complaint as a Delaware corporation with its principal place of business in Asheville. Granite Heron admits that it is incorporated in Georgia, maintains its principal place of business there, and operates a cold-chain facility at 802 Granite Heron Way in Fletcher, North Carolina.

Granite Heron does not contest diversity jurisdiction or venue for this action. It admits that the asserted amount exceeds the jurisdictional threshold, while denying that Blue Ember can prove or recover that amount. It agrees that the parties selected North Carolina law for the contract issues.

Granite Heron admits executing Master Logistics Services Agreement BE-GHL-MLS-2023-1101 on November 1, 2023 and Quality Agreement QA-BE-GHL-017 on January 15, 2024. It admits signing Statement of Work SOW-BE214-VAL-04 on August 19 and receiving purchase order BE-PO-240819-2147. It issued Rate Confirmation RC-240912-087 on September 11.

Granite Heron denies Blue Ember's interpretation to the extent it treats every quality deviation as automatic proof of causation or damages. The writings must be read together, including notice duties, proof requirements, damages limitations, declared-value terms, and provisions requiring reasonable steps to reduce a loss.

Packaging, custody, and transport chronology

Granite Heron admits that Solstice Gate Analytics tendered the lot at 11:20 Eastern Daylight Time on September 12 and that tractor GH-4821 departed at 11:47 with trailer TR-7714. It lacks knowledge sufficient to admit Blue Ember's characterization of every manufacturing and release activity before custody, and therefore denies those characterizations while admitting receipt of certificate COC-BE214-091224.

Granite Heron admits that the shipping instructions specified a minus-seventy-degree setpoint and a permitted band from minus eighty through minus sixty degrees Celsius. It admits that logger serial CTX9-44721 traveled with the payload. It denies that the carrier warranted the logger's scientific interpretation beyond its transport and documentation obligations.

During staging in Fletcher, a power transition did not proceed as intended. Granite Heron admits the logger crossed minus sixty degrees at 13:08, reached minus 42.8 degrees at 13:37, and returned below minus sixty at 14:02. Refrigeration was restored, the shipment continued, and delivery occurred in Asheville at 15:26.

Granite Heron denies concealing the event or falsifying custody records. It preserved available refrigeration data and participated in the deviation investigation. Whether personnel should have escalated sooner and whether that omission caused the claimed loss remain disputed.

Response concerning release and causation

Granite Heron admits that Blue Ember quarantined the shipment and issued a rejection on September 16. It denies that the release specification, standing alone, proves physical destruction, loss of biological activity, or the necessity of every replacement expense. The confirmatory stability material did not show total inactivity across the lot. Blue Ember's quality policy and intended validation use may inform its decision, but they do not eliminate its burden to prove contractual causation.

Granite Heron denies that exterior condition was irrelevant to all issues. The absence of broken containers, package intrusion, or impact narrows the event to a time-limited thermal condition. The duration, internal product temperature, recovery curve, assay results, and intended use all bear on whether complete rejection was a reasonable consequence.

Granite Heron also denies that its conduct was the sole cause of Blue Ember's later schedule. Decisions made after September 16 included the selection of a replacement site, timing of technical transfer, scope of change control, and refusal of earlier capacity. Those independent choices must be assessed when allocating damages.

Granite Heron admits that it owed the shipment-specific handling obligations proved by the integrated writings. It denies liability for amounts that are speculative, excluded, avoidable, unsupported, or not within the parties' contemplation.

Cobalt Finch opportunity and mitigation

Granite Heron admits that Cobalt Finch Bioprocessing sent a written capacity offer on October 2, 2024 for a production slot beginning December 2 at its Durham facility. The offer required acceptance by 17:00 on October 4. Granite Heron alleges that Cobalt Finch had an available controlled suite, relevant deep-frozen biologics experience, and personnel prepared to perform an expedited transfer.

Blue Ember did not accept. Granite Heron denies that the proposal's conditions made it unreasonable as a matter of course. Process transfer, suite qualification, and change control were ordinary components of an alternative campaign, and Cobalt Finch estimated their incremental cost at approximately 300,000 dollars. Blue Ember instead retained a March 3, 2025 campaign at Aurora Quay Manufacturing Center.

Granite Heron alleges that timely use of the December slot would have avoided 1.8 million dollars of Blue Ember's claimed delay loss. After subtracting the 300,000-dollar transfer and qualification expense, the net avoidable loss was 1.5 million dollars. Granite Heron does not contend that mitigation required Blue Ember to risk patient safety, release nonconforming material, or accept a facially incapable supplier.

It contends that a commercially reasonable developer would have investigated and secured the available slot rather than decline it during the acceptance window without completing the offered technical diligence.

Response to damages allegations

Granite Heron denies that Blue Ember has proved 1.35 million dollars as the recoverable value of the rejected lot or 850,000 dollars as reasonable replacement expense. It demands proof separating sunk research costs, reusable work, ordinary development spending, insurance recovery, credits, and expenses attributable specifically to the temperature event.

Granite Heron likewise denies the 2 million dollar delay claim. BE-214 was a development candidate, not an approved commercial product. Forecast contribution and milestone assumptions depended on scientific, manufacturing, and business contingencies apart from this shipment. Any time-based award must be confined to a reasonably certain period and may not treat every calendar movement as lost revenue.

If the factfinder accepts Blue Ember's gross 4.2 million dollar model, Granite Heron asserts at least a 1.5 million dollar net mitigation deduction based on the Cobalt Finch opportunity. It also preserves the right to prove smaller underlying damages and other offsets. The mitigation position is an affirmative defense rather than an admission that the gross model is correct.

Granite Heron denies entitlement to duplicative recovery. Prejudgment interest, costs, and any other relief depend on the governing law, contractual provisions, and the judgment ultimately entered.

First through fourth affirmative defenses

First, the complaint fails to state a claim to the extent it seeks loss outside the enforceable contract remedies. Granite Heron does not move to dismiss the entire action through this defense; it preserves the proper measure and limits of recovery.

Second, Blue Ember failed to take reasonable steps to reduce loss. The October 2 Cobalt Finch offer supplied a concrete alternative, a fixed December 2 start, relevant capability, and an identified 300,000-dollar incremental cost. Granite Heron bears the burden of proving the opportunity, reasonableness, and net amount avoided.

Third, intervening business choices and preexisting program risks caused or contributed to the alleged delay. Those matters include Blue Ember's decision to retain the later Aurora Quay slot, the scope of its internal change-control process, and scientific dependencies not created by transport.

Fourth, the integrated agreement limits recovery to damages that are direct, foreseeable, reasonably certain, and not otherwise excluded. Granite Heron invokes the limitation and declared-value provisions according to their text, without asserting that a carrier may ignore the central temperature obligation.

These defenses are pleaded in the alternative. Granite Heron may dispute breach and causation while also showing that particular losses would have been avoidable even if a breach occurred.

Fifth through eighth affirmative defenses

Fifth, Blue Ember has not yet credited all salvage, reusable work, third-party reimbursement, insurance, or avoided expense associated with the rejected campaign. Granite Heron seeks only offsets supported by evidence and does not allege a presently known double payment.

Sixth, failure to satisfy contractual notice or claim-documentation requirements bars any component for which Blue Ember did not provide timely supporting material. Granite Heron admits receiving prompt notice of the excursion but reserves objections concerning later categories and computations.

Seventh, damages based on uncertain future approval, sales, or market adoption are too speculative. The defense does not categorically exclude a properly supported schedule loss; it requires proof tied to noncontingent evidence and a reasonable time horizon.

Eighth, Granite Heron is entitled to every setoff, credit, apportionment, and limitation permitted by the writings and North Carolina law. No defense should be read to request comparative negligence treatment inconsistent with contract law.

Granite Heron presently lacks a good-faith basis to plead fraud, product misuse, or intentional spoliation, and it does not assert those accusations. It reserves amendment only as allowed by the rules and scheduling order after discovery. All defenses remain subject to the evidence and the Court's legal rulings.

Prayer, jury demand, and signature

Granite Heron asks the Court to deny relief not established by admissible evidence, enforce the parties' written allocation of risk, apply the proven mitigation deduction, and award any costs permitted by law. If liability is found, Granite Heron requests a verdict form that separately identifies gross damages and any mitigation offset so the calculation remains reviewable.

Granite Heron demands a jury on every triable issue. It does not oppose a practical schedule for exchanging logger data, quality materials, facility records, expert analyses, and witnesses concerning the Cobalt Finch proposal. It preserves objections based on privilege, proportionality, authenticity, and admissibility.

Eli Mercer and Tara Webb of Mercer Webb PLLC sign this exercise answer for Granite Heron. They certify that the admissions and denials follow a reasonable inquiry into the agreements, shipment file, CTX-9 output, deviation communications, and available replacement-capacity information. Discovery may refine the chronology without converting an initial response into a binding expert opinion.

Dated: December 30, 2024.

Respectfully submitted,

Mercer Webb PLLC

Eli Mercer, exercise counsel

Tara Webb, exercise counsel

Counsel for Granite Heron Logistics, Inc.